

China Daily Brief

Thursday, October 1, 2026

2,837 words · 11 min read

RE: Xi hardens Taiwan line at National Day · Beijing halts fuel exports · AI hacking campaign hits US insiders

USD/CNY
6.6987
▼ -0.18%

SSE COMPOSITE
3,842.20
▼ -2.40%

HANG SENG
24,613.27
▼ -0.89%

BRENT
\$99.71
▼ -5.29%

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• TODAY AT A GLANCE

- 1 Xi Jinping used his National Day speech to harden Beijing's message on Taiwan reunification as China entered its seven-day Golden Week holiday.
- 2 Chinese refiners including PetroChina suspended October fuel exports beyond Hong Kong and Macau, tightening a global market already strained by Middle East and Russian supply disruptions.
- 3 Suspected Chinese hackers impersonated an Anthropic employee and former US officials to extract intelligence on American AI development, CNN and Reuters reported, as MI5 separately accused a Chinese-linked institute of spying on UK AI research.

CROSS-STRAIT

Xi Marks 77th PRC Anniversary With Hardened Taiwan Message

China began its seven-day Golden Week holiday Thursday after Xi Jinping used his annual National Day speech to sharpen Beijing's message on Taiwan, CNBC reported. The address came as China marked the 77th anniversary of the PRC's founding with a Tiananmen Square flag-raising ceremony and a National Day reception the prior evening, per Chinese military and state media readouts.

CNBC, OCT 1, 2026

INDO-PACIFIC

Philippines Sends Largest Ship, Aircraft to Drive Off Chinese Vessel Near Taiwan

The Philippines deployed its largest coast guard vessel and an aircraft to drive away a Chinese ship operating in waters near Taiwan, Reuters reported Thursday. The incident adds to a string of gray-zone encounters between Manila and Beijing across contested waters this year.

REUTERS, OCT 1, 2026

PLA

US Officials See Chinese Invasion of Taiwan Unlikely Before 2028

US officials believe Beijing is unlikely to use force against Taiwan before 2028, even though Xi Jinping has ordered the PLA to be ready to do so by 2027, Reuters reported, citing two current US officials, a former official and another source. Officials pointed to an anti-corruption purge that has slowed PLA readiness, only two of seven Central Military Commission members remain in active service, including Xi, and said Beijing may wait to see the outcome of Taiwan's 2028 election before deciding on force.

REUTERS, OCT 1, 2026

TECHNOLOGY

Suspected Chinese Hackers Impersonated US AI Insiders

Suspected Chinese hackers impersonated an Anthropic employee and former US officials in a campaign to extract insights on American AI development, a US cybersecurity firm told CNN. Reuters separately reported the hackers impersonated a former US official specifically to steal emails from AI experts, as the US-China AI race intensifies.

CNN, OCT 1, 2026

ENERGY

Chinese Refiners Suspend October Fuel Exports, PetroChina Cancels Cargoes

Chinese refiners suspended October fuel exports beyond Hong Kong and Macau, with state-owned PetroChina cancelling a small number of planned gasoline and jet-fuel cargoes on Sept. 30, Reuters

reported. Most cancelled deals were trades PetroChina had committed to over the prior two weeks, and it remains unclear whether Beijing will resume approvals after the Golden Week holiday ends Oct. 7, per Lianhe Zaobao.

REUTERS, OCT 1, 2026

SANCTIONS

UK's MI5 Accuses Chinese Institute of Spying on AI Research

The UK's MI5 accused the China General Technology Research Institute of maintaining 'very strong ties' to Chinese intelligence and warned universities to cut ties with it, the FT reported. The Washington Post and AP separately reported the UK government directed academics to sever links with the institute in an unusual public espionage alert.

FT, SEPT 30, 2026

HONG KONG SECURITY	Hong Kong Police Arrest Journalist Over 2019 Protest Coverage · NYT Hong Kong's national security police detained Tang Ho-wing, founder of independent outlet Boom News, after she covered a gathering linked to the 2019 protests, the NYT reported. The arrest adds to a string of press-freedom cases under Hong Kong's national security law.
TECHNOLOGY	Japan Plans \$140bn AI Data Centre Push With Dell and Jera · FT Japan is planning a <i>\$140 billion</i> AI data-center push with Dell and Jera, the FT reported, including a planned 400-megawatt facility near Tokyo that would be among Asia's largest data centers outside China.
DIPLOMACY	For the First Time, Latin Americans Prefer China to America · The Economist The Economist reported that regional surveys show Latin Americans now prefer China over the United States for the first time, without detailing the underlying poll's methodology in the available summary.
DIPLOMACY	Sinocism Podcast Covers US-China 'Strategic Stalemate Era' · Sinocism Sinocism's Sharp China podcast episode, released free of the paywall, discusses the 'strategic stalemate era' for the US and China, Xi's outreach to American young people, and domestic crackdowns.
SANCTIONS	US Sanctions Forced Xinjiang Cotton Growers to Mechanize · SCMP SCMP profiled Awati county cotton farmers mechanizing after US sanctions cut access to international buyers, citing technician Yusup Molamaiti, who described hand-planting 37 <i>mu</i> of scattered plots taking up to three hours for two people.
SANCTIONS	Starbucks Opens First Cafés in China's Xinjiang · FT Starbucks opened its first cafés in Xinjiang, the FT reported, a region where Beijing is accused of widespread human-rights abuses against Uyghurs and other minorities.
PRC-ECONOMY	Hong Kong's Five-Year Plan Underlines 'DNA' as Global City: Lee · SCMP Hong Kong Chief Executive John Lee said the city's inaugural five-year plan highlights its identity as an international city built on a market economy, at a National Day reception marking the PRC's 77th anniversary.
DIPLOMACY	Trump Says He Raised Jimmy Lai Case With Xi · Japan Times Trump said he raised the case of jailed Hong Kong media mogul Jimmy Lai with Xi Jinping, the Japan Times reported, without detailing Xi's response or any commitment from Beijing.
PLA	China Beefs Up Defense Mobilization Law With Taiwan Possibly in Mind · Kyodo China strengthened its national defense mobilization law, Kyodo reported, in a move analysts say could be aimed at preparing civilian and economic systems to support a Taiwan contingency.

TARIFF · AFP

USTR Announces 'Milwaukee Framework' on Steel Excess Capacity, Excludes China

USTR Jamieson Greer announced a 'Milwaukee framework' for coordinated action on steel excess capacity, agreed by the 28-member Global Forum on Steel Excess Capacity, which includes the EU, Australia, Japan and South Korea but excludes China. Greer said 'every country will do what they think is appropriate' and that Washington wants to coordinate such measures.

LEGAL · REUTERS

China Extends Two Trade Barrier Probes Into US Till December 27

China extended two ongoing trade-barrier investigations into US practices to Dec. 27, Reuters reported Wednesday. No further detail on the investigations' subject matter was disclosed.

CONGRESS · AP

Senate Punts Permanent Chinese Car Ban Until After Midterms

The Senate punted a bill that would permanently ban Chinese-made cars from the US market until after the Nov. 3 midterm elections, AP reported. Reuters reported senators plan to bring the measure up again for a vote in November.

DIPLOMACY · SCMP

US Criticizes China's WTO Compliance at Hearing

At a hearing reviewing China's WTO compliance, Assistant USTR for China, Mongolia and Taiwan Affairs Terry McCartin said Beijing is targeting entire industrial sectors for global dominance while retaining a non-market economic system, SCMP reported. He said China's anticompetitive behavior poses a major challenge to the global trading system 25 years after its WTO accession.

DIPLOMACY · WSJ

Behind Summit Pageantry, Xi's Eyes Were on Taiwan

WSJ reported that behind the pageantry of last week's Trump-Xi summit in Washington, Xi Jinping's focus throughout remained on Taiwan. The piece comes as US lawmakers and allied officials publicly assess whether the summit altered Washington's position on Taiwan arms sales and strategic ambiguity.

CONGRESS · TAIPEI TIMES

Senator Wicker Says US Must Honor Taiwan Deals

Senate Armed Services Committee Chairman Roger Wicker said Washington's security commitments to Taiwan must be upheld, after meeting Taiwan's Representative to the US Alexander Yui. Four other Republican senators separately called on the Trump administration to release more than *\$14 billion* in stalled Taiwan security assistance.

CROSS-STRAIT · REUTERS

Taiwan Transfers Naval Commander to Coast Guard to Boost Deterrence

Taiwan transferred a naval commander to the Coast Guard Administration to boost deterrence against China, Reuters reported, without naming the officer or detailing the new post. The move follows President Lai Ching-te's call for the military and Coast Guard to deepen coordination.

JAPAN · FT

Japanese Companies Exit China in Record Numbers

Japanese companies are exiting China in record numbers, the FT reported, citing diplomatic tensions, slowing Chinese growth and US tariff pressure as drivers of a broader supply-chain rebalancing. The exits coincide with Chinese tourist arrivals to Japan falling roughly *60 percent* year-on-year in August, per Japan's tourism agency data.

JAPAN · LIANHE ZAOBAO

Japanese Business Delegation Plans March 2027 China Visit

A delegation led by the heads of the Japan-China Economic Association, Keidanren and the Japan Chamber of Commerce plans to visit Beijing in March, after the trip was postponed amid tensions over PM Sanae Takaichi's Diet remarks on a 'Taiwan contingency.' Wang Yi told a visiting Japanese trade delegation this week that bilateral ties face a 'severe situation,' while He Lifeng said China 'welcomes' Japanese investment.

KOREA · YONHAP (CHINESE)

Kim Jong Un's National Day Message to Xi Grows to 1,100 Words

Kim Jong Un sent a congratulatory telegram to Xi Jinping marking the PRC's 77th founding anniversary, declaring the DPRK-China friendship 'forged in blood' will not waver. The telegram ran to roughly *1,100 words*, up from about 800 in 2025 and 500 in 2024, years when ties were comparatively distant.

KOREA · REUTERS

Republican Committee Chair Calls for Scrutiny of Seoul's China Ties

A Republican committee chair called for greater scrutiny of South Korea's ties with China, Reuters reported, without detailing specific findings or proposed actions in the brief dispatch.

EUROPE · BLOOMBERG

Germany Moves Closer to Blocking Chinese Logistics Takeover

Germany is moving closer to blocking a Chinese takeover of a logistics firm, Bloomberg reported, part of a broader European push to tighten screening of Chinese investment in strategic sectors.

EUROPE · REUTERS

Spain, France Align on China Trade Defenses, UK's EU Return

Spain and France aligned on welcoming the UK back toward closer EU ties while strengthening the bloc's trade defenses against China, Reuters reported.

LATIN AMERICA · BLOOMBERG

Brazil Beef Hit With 55% China Tariff After Filling Quota

China imposed a *55 percent* tariff on Brazilian beef after Brazil filled its export quota, Bloomberg reported.

¥1.2 trillion

PBOC 3-month reverse repo operation announced for Oct 8

The operation adds ¥200 billion above the ¥1 trillion in 3-month reverse repos maturing in October; September's rollover was equal-for-equal.

PBOC (via Sohu/Sina Finance)

• ECONOMY & BUSINESS

PROPERTY / EVERGRANDE · BLOOMBERG

Why China Can't Sort Out Its Property Market Mess

Bloomberg traced China's property crisis from Evergrande's collapse through Beijing's latest stabilization measures, describing a market still searching for a durable floor.

MACRO · BLOOMBERG

China Eyes More Targeted Fiscal Support After Growth Slowdown

Beijing is weighing more targeted fiscal support after a growth slowdown, Bloomberg reported, as September's official manufacturing PMI rose to 50.1 and the PBOC announced a ¥1.2 trillion reverse repo operation for Oct. 8.

TECH / TENCENT, ORACLE · FT

Tencent Leases 100,000 Chips From Oracle for AI Push

Tencent struck a deal to lease 100,000 chips from Oracle, accessing the US company's Southeast Asia data centers as it races ByteDance and Alibaba on AI infrastructure.

TECH / HUAWEI · REUTERS

Huawei Unveils Mate 90 Phones, Leans on Homegrown Chips

Huawei unveiled its Mate 90 phone line, leaning on homegrown chip design to offset US export curbs, Reuters reported.

MANUFACTURING · FT

EU Steel Exports Fall a Fifth on Costs, Tariffs, China Oversupply

EU steel exports abroad have fallen by a fifth, with production at historic lows amid high energy costs, tariffs and Chinese oversupply, the FT reported.

PROPERTY / NEW WORLD DEVELOPMENT · FT

New World Pays \$430mn to Abandon HK Airport Mega Mall

New World, the Cheng family-controlled developer, paid \$430 million to abandon its Hong Kong airport mega-mall project after posting a \$3.6 billion loss tied to the 11 Skies development.

FINANCE / SOLANA · WSJ

Solana CEO Says China Will Find a Way to Manage Crypto

Solana's CEO said China will find a way to manage crypto, WSJ reported, without detailing a specific regulatory timeline.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · THURSDAY, OCTOBER 1, 2026

中国人民银行 · PBOC · PBOC (*institutional announcement*)

Announces ¥1.2 trillion 3-month reverse repo operation

The PBOC will conduct a ¥1.2 *trillion* buyout-style reverse repo operation on Oct. 8 at a 3-month (89-day) tenor maturing Jan. 5, 2027, adding ¥200 billion over the ¥1 trillion maturing in October; September's rollover was equal-for-equal.

→ PBOC (via Sohu) ↗

中国人民银行 · PBOC · PBOC (*institutional announcement*)

Cuts PSL rate, expands structural tool support to 'six networks'

The PBOC cut the Pledged Supplementary Lending rate to *1.5 percent* and expanded support for 'six network' infrastructure construction plus tech-finance and small-business financing, per Sina Finance.

→ PBOC ↗

国务院 · STATE COUNCIL / NBS

September manufacturing PMI rises to 50.1

China's official manufacturing PMI rose to *50.1* in September, data released via the State Council's public information channel showed, remaining above the 50-point expansion threshold.

→ State Council (NBS data)

外交部 · MOFA · MOFA *spokesperson*

Urges Japan to uphold Three Non-Nuclear Principles

MOFA said the international community should urge Japan to abide by its 'Three Non-Nuclear Principles' and fulfill nuclear non-proliferation obligations, in a Sept. 30 statement.

→ MOFA (via 中工网) ↗

国台办 · TAO · CROSS-STRAIT HISTORICAL NARRATIVE DISPUTE

FIRM · TO TAIWAN

TAO spokesperson ' Taiwan Affairs Office spokesperson

“Per 早报 (Zaobao): Taiwanese 'green camp' criticism of joint WWII remembrance between Xi and Trump misrepresents history, and 'Taiwan independence is a desecration of the fallen heroes.’”

台独是对先烈的亵渎

Taiwan's government objected after Xi and Trump's summit referenced shared WWII wartime ties, which Taipei read as endorsing Beijing's framing of history.

早报 (Zaobao)

国台办 · TAO · CROSS-STRAIT TRAVEL AHEAD OF HOLIDAY

CONCILIATORY · TO TAIWAN

TAO spokesperson ' Taiwan Affairs Office spokesperson

“Per 新浪财经 (Sina Finance): the TAO welcomes Taiwan compatriots to take a spontaneous, impromptu trip to the mainland as the Oct. 1 holiday approaches.”

欢迎台湾同胞来一场随心所欲的大陆行

The comment came during TAO's Sept. 30 regular press briefing ahead of the National Day holiday period.

新浪财经

外交部 · MOFA · JAPAN'S NUCLEAR NON-PROLIFERATION OBLIGATIONS

FIRM · TO JAPAN

MOFA spokesperson ' Ministry of Foreign Affairs spokesperson

“Per 中工网: the international community should urge Japan to abide by its 'Three Non-Nuclear Principles' and fulfill its nuclear non-proliferation obligations.”

国际社会应敦促日本恪守'无核三原则'

The comment followed renewed scrutiny of Japan's nuclear policy stance amid broader bilateral tensions over Taiwan remarks by Japanese leaders.

中工网

国防部 · MND · 77TH PRC FOUNDING ANNIVERSARY MESSAGING

ROUTINE · TO DOMESTIC

PLA Daily editorial ' Military mouthpiece editorial

“Per 解放军报: the military must firmly build confidence, continue striving, and faithfully fulfill the missions and tasks that the party and the people have entrusted to it.”

坚定信心 接续奋斗 忠实履行党和人民赋予的使命任务

The editorial ran as China marked the 77th anniversary of the PRC's founding with a Tiananmen Square flag-raising ceremony and National Day reception.

解放军报 (PLA Daily, via mod.gov.cn)

TAIPEI TIMES · OCT 1, 2026

Roger Wicker · Senate Armed Services Committee Chairman

“As members of Congress, we have a duty to make sure this law is adhered to and that decisions about the defense needs of Taiwan are based on our joint assessment of military necessity.”

Wicker spoke after meeting Taiwan's Representative to the US Alexander Yui; four Republican senators separately urged release of a stalled \$14 billion Taiwan security assistance package.

source

YONHAP (CHINESE) · OCT 1, 2026

Kim Jong Un · Chairman of the State Affairs Commission, DPRK

“Regardless of how the international situation evolves, the history of DPRK-China friendship, forged in blood and carried forward through sincere comradely feelings, will not waver.”

Kim's congratulatory telegram to Xi marking the PRC's 77th founding anniversary ran to roughly 1,100 words, up from about 800 in 2025 and 500 in 2024.

source

AFP · SEPT 30, 2026

Jamieson Greer · US Trade Representative

“We're releasing a Milwaukee framework to take coordinated action on steel excess capacity.”

The 28-member Global Forum on Steel Excess Capacity includes the EU, Australia, Japan and South Korea but excludes China; Greer did not specify whether members should raise trade barriers on Chinese steel.

source

DIPLOMACY

TAIPEI TIMES

Taiwan, Belize Sign Agreements During FM's Visit

Taiwan and Belize signed agreements on diplomatic training and a Taiwan-Caribbean Academy as FM Lin Chia-lung concluded a three-day visit.

FT CHINESE

EU Chamber Paper Distinguishes China 'Reciprocity' From 'Mutual Benefit'

The EU Chamber's 2026/2027 China recommendations note Beijing's shift from 'in China for China' to 'in China for the world.'

HK01

Rubio, Russian MFA Spokesperson Both Send China National Day Greetings

Secretary of State Marco Rubio posted National Day congratulations to China; Russia's MFA spokesperson delivered hers in Mandarin.

TECHNOLOGY

TAIPEI TIMES

Taiwan Partners With US Tech Firms to Fight AI Cyber Threats

Taiwan's digital ministry is working with Anthropic, OpenAI, Google and Microsoft to scan government systems for AI-enabled vulnerabilities.

BBC CHINESE

Can 'Made in USA' Sodium-Ion Batteries Beat China?

US startups Unigrid, Emerald Battery Labs and Peak Energy are racing to build domestic sodium-ion supply chains, still relying on Chinese-made cells.

CROSS-STRAIT

TAIWAN NEWS

Lai Urges Military, Coast Guard to Deepen Coordination

President Lai Ching-te urged Taiwan's military and Coast Guard to deepen coordination amid heightened gray-zone activity near Taiwan.

PRC-ECONOMY

NIKKEI ASIA

Chinese Tourists Shun Japan for Southeast Asia During Golden Week

China's seven-day holiday began Thursday with many of over 2 *billion* expected passenger trips headed to Southeast Asia rather than Japan.

HK01

Japan Tourism Data: August Chinese Visitors Down 60% YoY

Japan's tourism agency data showed August Chinese visitor numbers fell roughly 60 *percent* from a year earlier amid bilateral tensions.

● UPCOMING

Oct
7

Golden Week Holiday Ends

China's seven-day National Day holiday concludes; traders are watching whether Beijing resumes approvals for the refiners' fuel exports suspended for the break.

Oct
25

UN Resolution 2758, 55th Anniversary

The 1971 resolution seating the PRC at the UN turns 55, a recurring flashpoint over competing interpretations of Taiwan's status.

Nov
3

US Midterm Elections

Midterms could reshape the composition of China-focused congressional committees, including the Select Committee on the CCP.

Nov
10

Busan Deal Suspensions Near Lapse

The one-year suspensions of the BIS Affiliates Rule and China's October 2025 rare-earth export controls, agreed at Busan, are due to lapse around this date unless extended.

Nov
18

APEC Leaders' Meeting, Shenzhen

China hosts APEC Nov. 18-19; a Kansai business delegation postponed its October China trip in part because Beijing is focused on APEC preparations, per Lianhe Zaobao.

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CHINA DAILY BRIEF

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